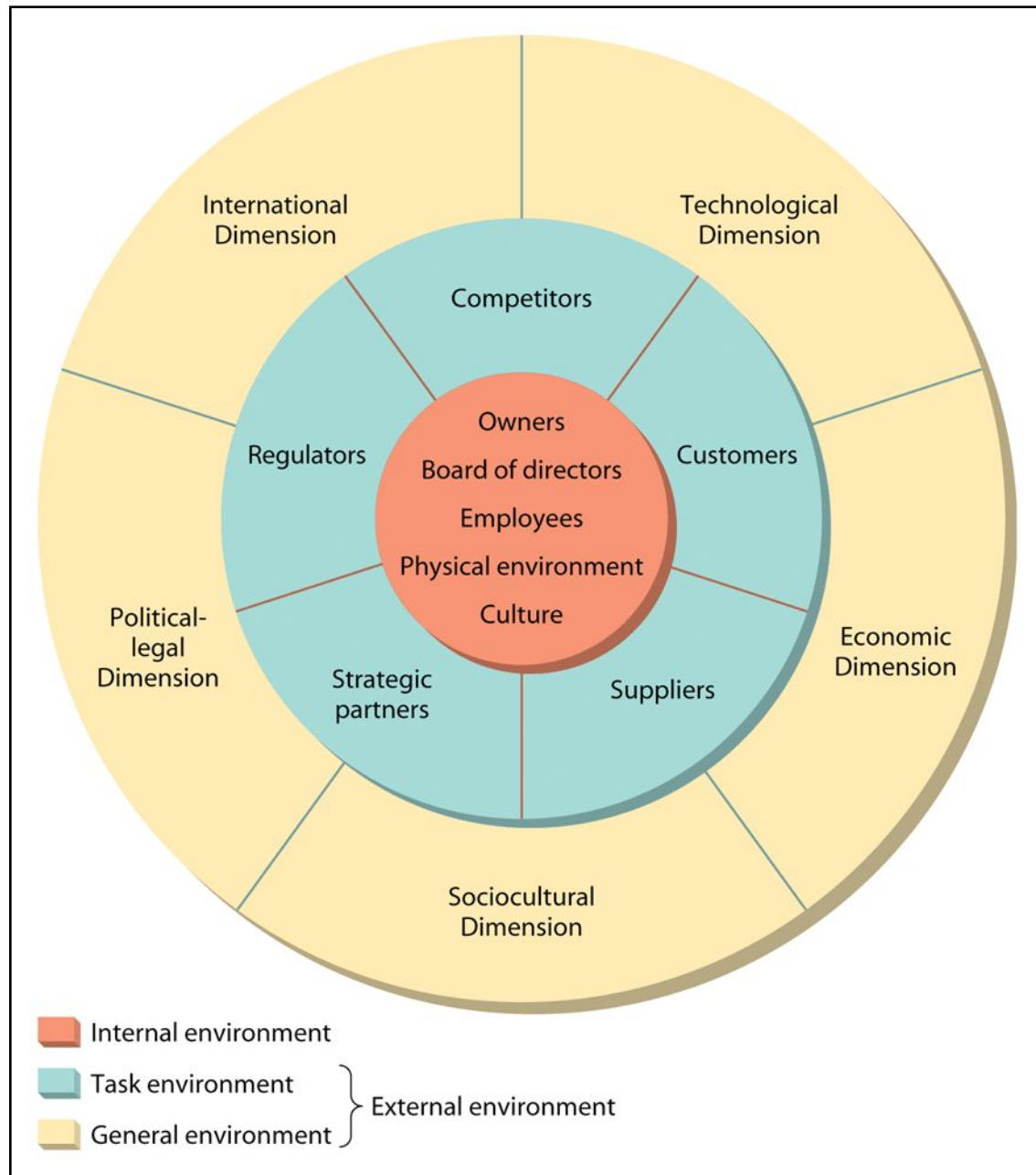


Organizational Environments

- *External environment* – everything outside an organization's boundaries that might affect it.
 - General environment
 - Task environment
- *Internal environment* – the conditions and forces within an organization.
- Not all parts of the environment are equally important to all organizations

Organization and Its Environment



The External Environment

- *General environment* is the set of broad dimensions and forces in an organization's surroundings that create its overall context.
 - International dimension
 - Technological dimension
 - Political-legal dimension
 - Socio-cultural dimension
 - Economic dimension

The External Environment

- *Task environment* consists of specific organizations or groups that influence an organization.
 - Competitors
 - Customers
 - Suppliers
 - Strategic partners
 - Regulators

The General Environment

- *Economic Dimension*
 - Overall health and vitality of the economic system in which the organization operates.
 - Usually influenced by economic growth, inflation interest rates and unemployment.

The General Environment

- *Technological Dimension*
 - Methods available for converting resources into products or services.
 - Examples include:
 - CAD (computer-assisted design) techniques
 - Assembly-line techniques for car manufacturing and hamburger assembly at McDonald's
 - Use of internet in all areas of business
 - Integrated business software systems

The General Environment

- *Socio-cultural Dimension*
 - Customs, values and demographic characteristics of the society in which the organization functions.
 - Socio-cultural processes determine the products, services and standards of conduct that society is likely to value.
 - Consumer tastes change over time – preferences for color, style, taste, etc change from season to season. [McDonald's response to healthier food selections]
 - Socio-cultural factors influence how workers feel about their jobs and organizations.
 - Appropriate business conduct varies from culture to culture.

The General Environment

- *Political-Legal Dimension*

- Refers to government regulation of business and the relationship between business and government.
 - The legal system partially defines what an organization can and cannot do.
 - In western countries, periods of ‘pro-business’ and ‘anti-business’ climates can affect how businesses operate.
[mergers and acquisitions may not be possible due to worry about organizations becoming too large and running small businesses out of business.]
 - Political stability with other countries can affect businesses willingness to trade with those countries.

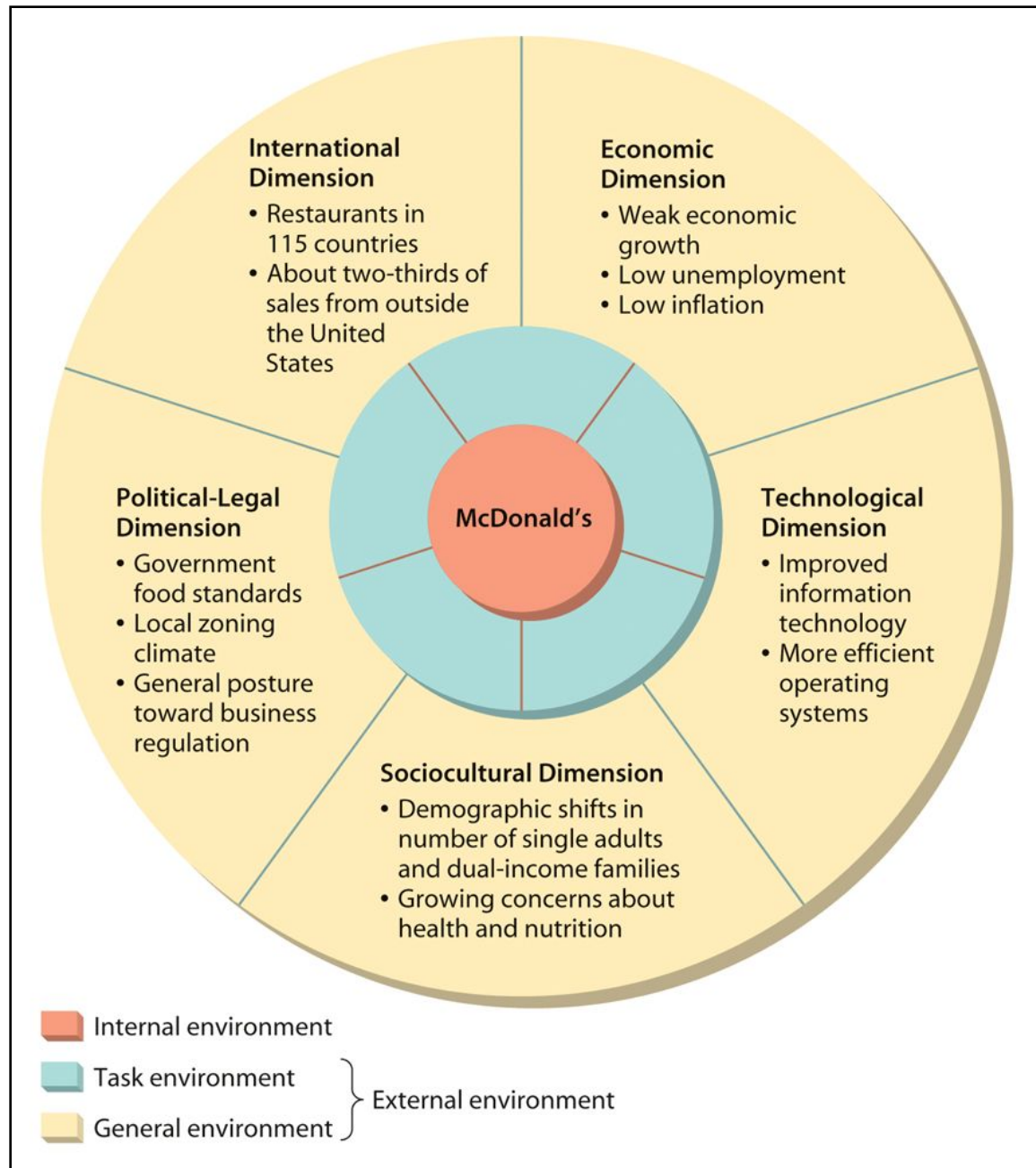
The General Environment

- *International Dimension*

- The extent to which an organizations is involved in or affected by business in other countries.
- Multinational firms are clearly affected by businesses in other countries. [car and aircraft manufacturers, restaurants, electronics firms, etc]
- Advances in transportation and information technology have linked all parts of the world, no matter how remote.
- Virtually every organization is affected by the international dimension of its general environment.

See Figure 3.2, page 77.

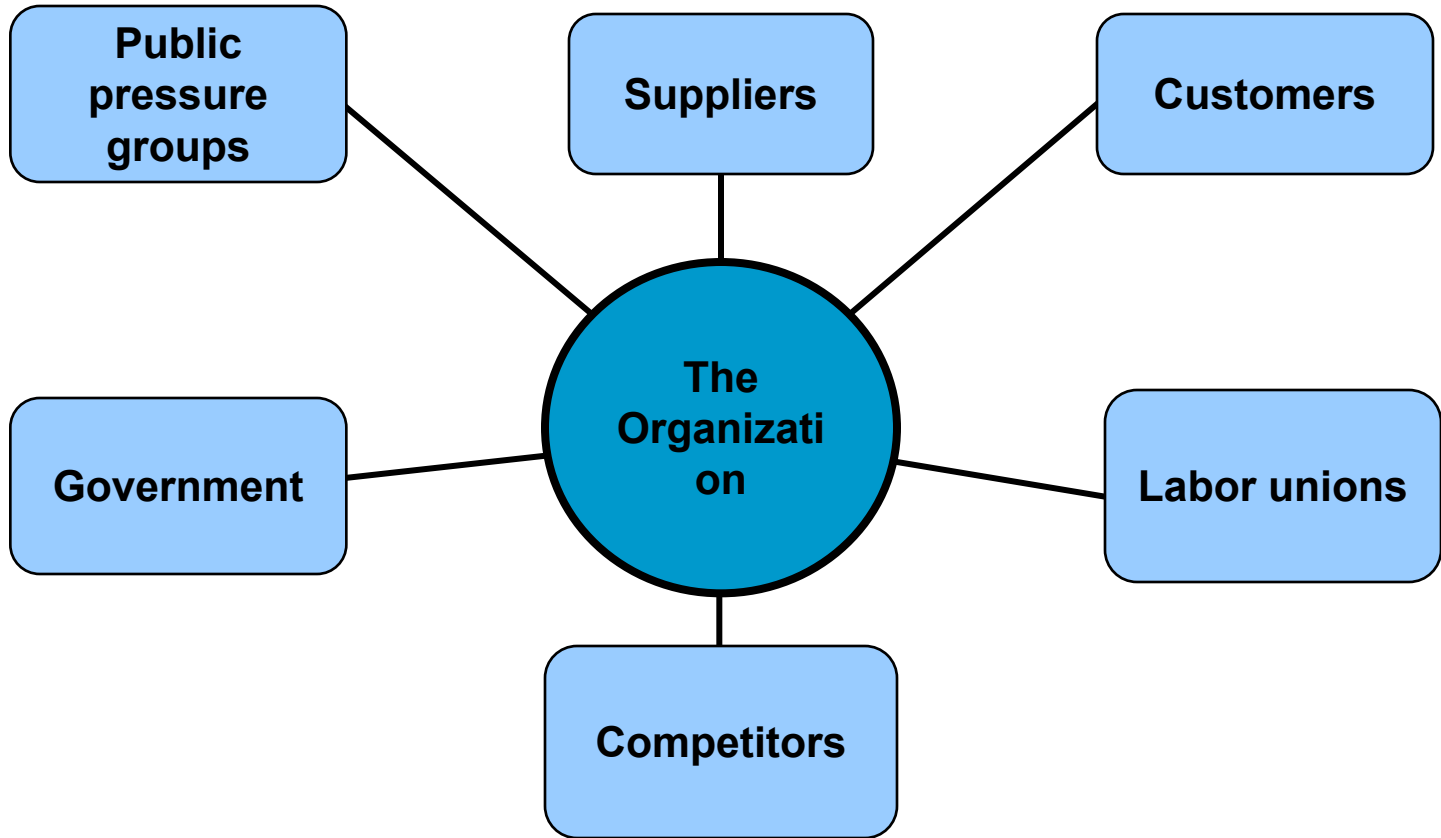
McDonald's General Environment



The Task Environment

Provides useful information more readily than does the General Environment because the manager can identify environmental factors of specific interest to the organization.

The Organizational Environment



The Task Environment

- *Competitors*
 - Other organizations that compete with our organization for resources.
 - Most obvious resource is customer dollars.
 - Organizations compete for bank loans, property, quality labor, technological breakthroughs, patents, scarce raw materials.

The Task Environment

- *Customers*

- Whoever pays money to acquire an organization's products or services.
- Customers of major organizations may include: schools, hospitals, government agencies, wholesalers, retailers and manufacturers.
- Customers have more discriminating tastes and new products' and services' expectations.
- Companies who expand internationally face critical differences [no beef served in India, alcohol served in Germany and France as a part of the menu].

The Task Environment . . . (continued)

- *Suppliers*
 - Organizations that provide resources for other organizations.
 - McDonald's depends on Heinz for its ketchup packets and Coca-Cola for its soft drinks.

The Task Environment

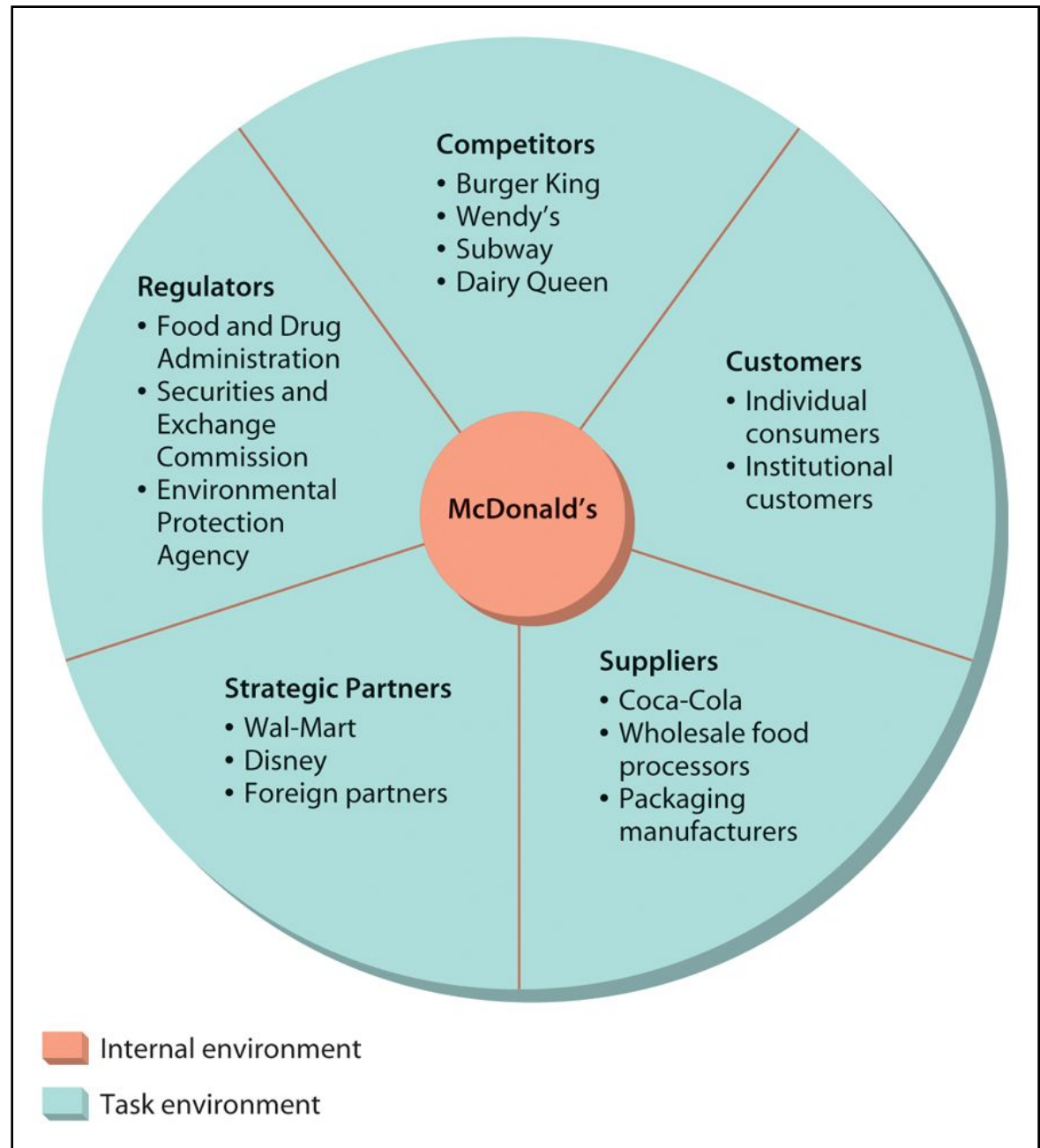
- *Strategic Partners (Allies)*
 - Two or more companies that work together in joint ventures or similar arrangement.
 - McDonald's with Wal-Mart and Disney.
 - Strategic partnerships allow companies to share expertise they lack, spread risk and open new market opportunities.
 - Usually occurs with international firms. [Ford shares a distribution and service center in South America with Volkswagen and builds minivans in the US with Nissan]

The Task Environment

- *Regulators*

- A unit that has the potential to control, legislate or otherwise influence the organization's policies and practices.
 - Regulatory agencies – created by the government to protect the public from certain business practices or to protect organizations from one another. [EPA, SEC, FDA, EEOC]
 - Interest groups – organized by their members to attempt to influence organizations. No official power, but use the media to call attention to their positions.

McDonald's Task Environment



The Internal Environment

- *Internal Environment consists of:*
 - Owners
 - Board of Directors
 - Employees
 - Physical Work Environment
 - Organizational Culture

The Internal Environment

- *Owners*

- **People who can claim property rights to an organization.**
 - **Single individual who establishes and runs a small business.**
 - **Partners who jointly own a business.**
 - **Shareholders who own shares of stock in a corporation or other organization.**
 - **Companies who own other companies which are run as wholly owned subsidiaries by the parent companies.**
[McDonald's owns bakeries that supply it with buns and have partial ownership in other chains.]

The Internal Environment

- *Board of Directors*

- **Governing body elected by a corporation's stockholders and charged with overseeing the general management of the firm to ensure that it is being run in a way that best serves the stockholders' interests.**

The Internal Environment

- ***Employees***

- **The nature of the workforce is changing in terms of gender, ethnicity, age, etc.**
- **Workers are also demanding more job ownership – partial ownership in the company or more say in how they perform their jobs.**
- **Companies are relying on ‘temps’ more – less salary and benefits cost – but no company loyalty.**
- **Labor unions are presenting management with another layer with which to deal – some companies deal with more than one union.**

The Internal Environment

- ***Physical Work Environment***

- **An important consideration for many businesses.**
- **Construction supervisors may rely on wireless communication equipment to keep in touch with various work crews.**
- **Facilities may be spread out among various buildings in the city, in rural or suburban areas, or in campus-like facilities.**
- **Some facilities have traditional offices on each side of a hall, some modular cubicles with partial walls, or an even more open arrangement.**

The Internal Environment

- ***Culture***

- **A set of values, beliefs, behaviors, customs and attitudes that helps the members of the organization to understand what it stands for, how it does things and what it considers important.**
- **Plays an important part in shaping management behavior.**

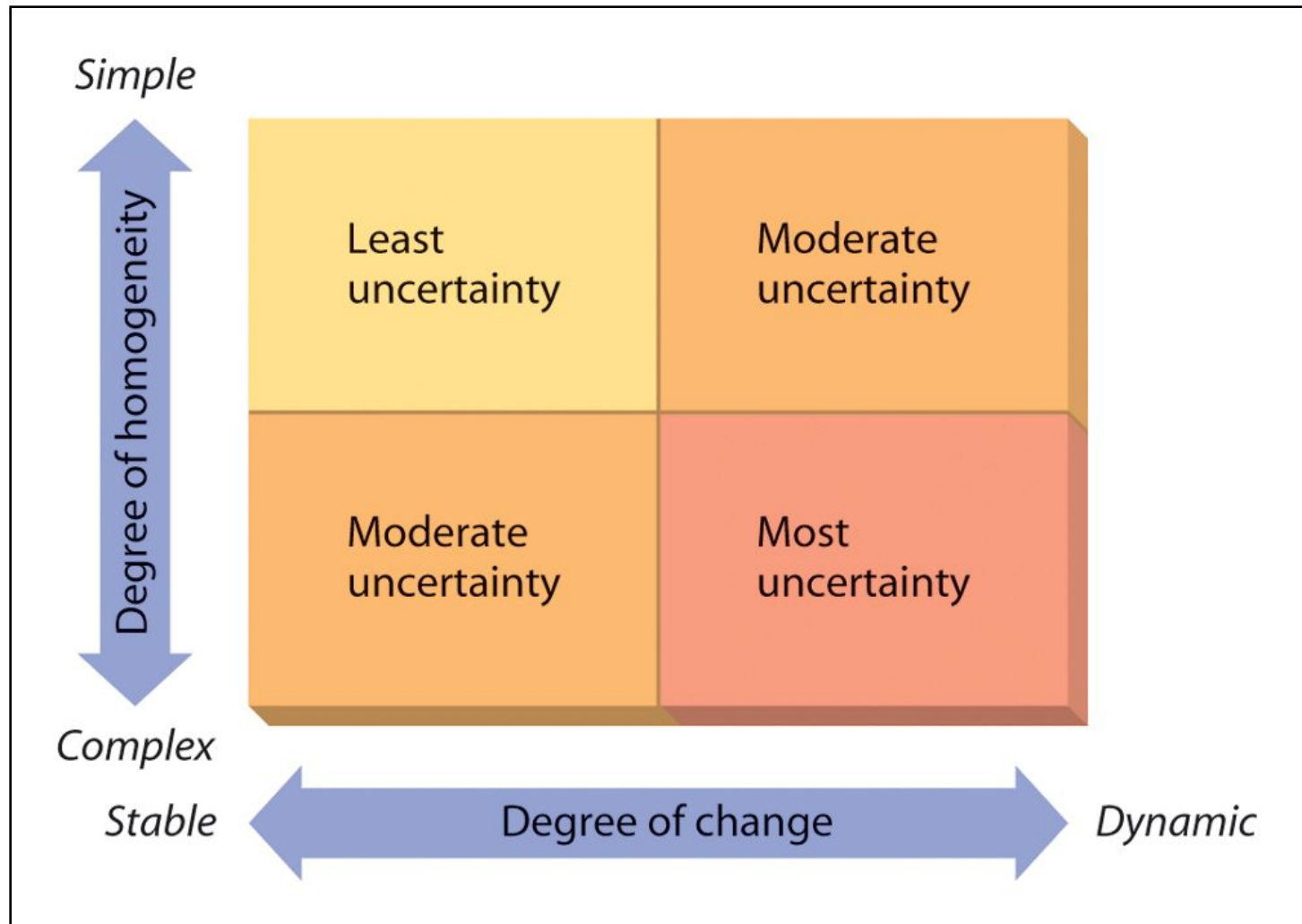
Organization-Environment Relationships

- Three basic perspectives can be used to describe how environments affect organizations:
 1. Environmental change and complexity
 2. Competitive forces
 3. Environmental turbulence

1. Environmental Change and Complexity

- *James D Thompson* theorized that organizational environment can be described along two dimensions:
 - *Degree of change* – the extent to which the environment is relatively stable or relatively dynamic.
 - *Degree of homogeneity* – the extent to which the environment is relatively simple (few elements, little segmentation) or relatively complex (many elements, much segmentation).
- These two dimensions interact to determine the level of uncertainty faced by the organization.

Environmental Change, Complexity, and Uncertainty



2. Competitive Forces

- *Michael E Porter* proposes that managers should view the organizational environments in terms of five competitive forces:
 - The threat of new entrants
 - Competitive rivalry
 - The threat of substitute products
 - The power of buyers
 - The power of suppliers

Competitive Forces

- *The threat of new entrants*
 - The extent to which new competitors can easily enter a market or market segment.
 - Entrance is easier for market requiring a small amount of capital to open. [More difficult when it takes a tremendous investment in plant, equipment and distribution systems [automobile market, etc.]
 - The internet has reduced the costs and other barriers of entry into many market segments so the threat has increased for many firms.

Competitive Forces

- *Competitive rivalry*
 - The nature of the competitive relationship between firms in the industry.
 - Large firms, dominant in the field, engage in price wars, comparative advertising and new-product introductions.
 - Examples include: Coke and Pepsi; American Express and Visa; Kodak and Fuji; US and foreign auto makers.
 - Small establishments, in contrast, do not generally engage in such practices.

Competitive Forces

- *The threat of substitute products*
 - The extent to which alternative products or services may take the place of or diminish the need for existing products and/or services.
 - Personal computers (PCs) have virtually eliminated the need for calculators, typewriters and large mainframe computers.
 - Sugar and salt substitutes are used more often.
 - DVD players will render VCRs obsolete in the next few years.

Competitive Forces

- *The power of buyers*
 - The extent to which buyers of the products or services in an industry have the ability to influence the suppliers.
 - Relatively few potential buyers for aircraft. Therefore, buyers have considerable influence over the price they are willing to pay, the delivery date of the order, etc.
 - Buyers have virtually no power with products that have very many willing buyers.

Competitive Forces

- *The power of suppliers*
 - The extent to which suppliers have the ability to influence potential buyers.
 - The power of the supplier depends on the product being offered. The more restricted the service or product, the more power to the supplier.
 - Small wholesaler of vegetables has little power, since if people do not like the product, they can easily find an alternative supplier.

3. Environmental Turbulence

- **Environmental change or turbulence which occurs with no warning at all.**
 - **Most common is an organizational crisis of some sort.**
 - **9/11 affected travel, international and domestic businesses.**
 - **Workplace violence – unhappy or dismissed workers assault other workers.**
 - **Spread of computer viruses that can shut down businesses around the world. [Love Bug virus in 2000]**
 - **Far too few organizations have developed crisis plans and special teams to deal with such events.**